

eligible for a company retirement plan but are married to someone who *is*. In that case, you can make the full contribution to a deductible IRA only if your combined adjusted gross income is \$166,000 or less and you and your spouse file a joint return. So if you drop out of the workplace for a few years to stay home to take care of the kids, for instance, and your spouse has a retirement plan at work, you can still open a deductible IRA as long as your spouse earns \$166,000 or less.

But what if your employer *does* offer a retirement plan? In that case, your IRA contribution may not be fully deductible. Here are the rules. If you're eligible for an employer-sponsored retirement plan, you can deduct your *full* \$5,000 contribution to a traditional IRA if:

- You're single and your adjusted gross income is \$55,000 or less.
- You're married, you file a joint tax return, and together your adjusted gross income is \$85,000 or less.

Married people who file separate tax returns, no matter what their incomes, can't claim the full deduction if they participate in retirement plans at work.

If you don't qualify for a fully deductible IRA, you can still put up to \$5,000 a year into a **partially deductible IRA** or a **nondeductible IRA**. To find out what part of your contribution may be deductible, consult IRS Publication 590, *Individual Retirement Arrangements*. You can get a copy of this by downloading it from the IRS website (www.irs.gov) or calling the IRS at 800-TAX-FORM.

For years, partially deductible IRAs and nondeductible IRAs were considered too much trouble to be worthwhile. Even though they still allowed your money to grow tax-deferred, they didn't offer the full \$5,000 upfront tax break that makes deductible IRAs so appealing. They also require extra paperwork (you'll have to fill out Form 8606 every year when you file your taxes). But now there's a new loophole that can make them more attractive. For details on why nondeductible IRAs are now worth your time, see section If You're Self-Employed.

Roth IRAs